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Constellation Energy Corporation | North America

More Power Contracts in Play

Yesterday, CEG announced another data center contract in PJM to bring 890 MW of new nuclear capacity online through uprates and contract another 2,700 MW of existing capacity. We continue to see attractive upside opportunity in nuclear assets and compelling entry points in the broader IPP space.

Yesterday, Constellation and Google (covered by Brian Nowak) announced an agreement to bring 890 MW of new nuclear capacity online and contract another 2,700 MW of existing capacity in PJM. The new capacity is supported by a 20-year contract and will be enabled by uprates at 11 nuclear units in IL, PA and NJ, with expected investments of over \$4.3b. The first uprate is expected to be delivered in 2028. In addition to that, the companies entered into a 15-year agreement for 2,700 MW of CEG's existing capacity in PJM. The deal follows a similar (but smaller) announcement last week at CEG's Calvert Cliffs nuclear plant - more details [here](#).

Addressing PJM's additionality requirements and political pushbacks. In the announcement, the companies mentioned the agreement offers a direct response to PJM's "Bring Your Own Power" proposal and aligns with the White House Ratepayer Protection Pledge as well as Google's commitment to bring new capacity to PJM to support its growth without passing on costs to residential customers.

Pricing was not disclosed but we would estimate ~\$2.50/share of EPS upside and ~\$800m FCF before growth. Similar to last week's announcement, we would expect the contract to be priced consistent with the company's outline of \$20-50/MWh above the PTC floor price - the estimates above assume the midpoint of this pricing range (or a price in the \$80/MWh range). It seems likely that the pricing would be in the upper end of the range given current ATC PJM prices are currently in the low-\$70s/MWh and capacity prices are ~\$13/MWh for all-in market revenue ~\$85/MWh.

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Constellation Energy Corporation (CEG.O, CEG US)				
Diversified Utilities / IPPs United States of America				
Stock Rating	Overweight			
Industry View	Attractive			
Price target	\$369.00			
Shr price, close (Oct 5, 2026)	\$267.62			
Mkt cap, curr (mm)	\$94,820			
52-Week Range	\$412.70-228.63			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	9.38	12.49	13.13	16.12
Prior EPS (\$) **	-	-	-	-
P/E	37.7	21.4	20.4	16.6
EPS (\$) §	9.27	12.10	13.42	16.69
Div yld (%)	0.4	0.6	0.7	0.8
Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework				
** = Based on consensus methodology				
§ = Consensus data is provided by Refinitiv Estimates				
e = Morgan Stanley Research estimates				

QUARTERLY EPS (\$)					
Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	2.14	-	2.75a	-	2.56
Q2	1.91	-	2.56a	-	0.92
Q3	3.04	-	3.61	-	4.86
Q4	2.31	-	3.59	-	4.81

e = Morgan Stanley Research estimates, a = Actual Company reported data

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Exhibit 1: CEG upside opportunities**Earnings and FCFbG Opportunities in 2029**

Base Opportunity	Description	Earnings Upside	FCFbG Upside
1 GW Nuclear PPA	\$20-\$50/MWh premium to PTC floor	\$0.40 - \$1.00	\$125M - \$325M
1 GW Natural Gas Powered Land	\$10-\$25/MWh premium for long-term agreement	\$0.20 - \$0.50	\$75M - \$175M
Natural Gas Capacity Factor	1% - 2% increased utilization driven by higher spark spreads ⁽⁴⁾	\$0.10 - \$0.20	\$25M - \$75M
Commercial Margin	\$0.25 - \$0.50 increase to average margins	\$0.10 - \$0.30	\$50M - \$100M
Increase to PTC Floor	PTC inflation at 3% vs 2%	\$0.30	\$100M
Capital Allocation	Growth investments, share repurchases, etc.	\$0.20 - \$0.75+	Specific to Investment
Enhanced Opportunity	Description	Earnings Upside	FCFbG Upside
Power Prices and Spark Spreads	\$1 - \$3 power price and spark spread increase	\$0.45 - \$1.35	\$150M - \$450M

Source: Constellation.

What further upside opportunities are still available for CEG? The company has now contracted its available nuclear uprate capacity, and with the last two deals has contracted around 25 TWh of additional nuclear generation or about 17% of the 147 TWh remaining units available as of 2Q through 2030. The company still has 120TWh+ of nuclear generation that could be contracted, or the company could sell clean energy attributes from this remaining fleet. In addition, the company has several GW of potential new capacity for interconnection in PJM (battery storage, gas) along with the potential to pursue on-site power. We think the strategy from here is likely to continue to blend new generation with existing power plants, especially when data centers are collocated with existing facilities. We see the following catalyst path to realize further opportunities:

- IRAS order October 12 (we speculate there is a chance this could be delayed until early 2027)
- Midterm elections November 3
- ERCOT data center audit results December 10
- RBP final order and execution: potentially early 2027

We think further contracting activity is likely to accelerate in 2027 and expect to see hybrid approaches with new generation (peakers, battery storage, on-site power) alongside existing generation and collocated data centers

We continue to see attractive upside opportunity in nuclear assets given the premium value in clean baseload power that is being unlocked through transactions like this. The 2,700 MW contract is a virtual agreement with no direct

power supply to Google so power flows in the market don't change (and no approvals would be needed), while it incorporates a premium power price and long-term 15-year contract. We think deals like this can continue to occur, while collocated infrastructure deals we think would more likely require additional regulatory clarity.

We remain bullish on the IPPs as they trade at levels that imply no further contracting upside and represent extremely attractive entry points. The group broadly offers high free cash flow yields and multiple opportunities for significant upside in power prices (particularly in ERCOT), data center contracting, and for VST specifically, data center infrastructure returns through its Helix partnership. We think the strong stock performances yesterday indicate investors' increasing optimism with the space despite the lingering regulatory uncertainties in PJM - we highlight TLN was up even more than CEG, which we attribute to the outsized impact of a potential single announcement given TLN's smaller size relative to the other IPPs.

Valuation Methodology and Risks

Constellation Energy Corporation (CEG.O)

- 11x EV/EBITDA on tax credit-supported nuclear earnings, 9x on market exposed EBITDA, 8x on gas fleet
- 5 GW data center contracts assumed at \$40/MWh premium and 13.5x EV/EBITDA multiple
- \$5/MWh higher market power prices vs. forward curve
- \$10/MWh clean energy attributes on 50% of nuclear fleet

Risks to Upside

- M&A of merchant nuclear plants
- Tighter markets and higher forward power prices
- Data center power shortfall leads to greater nuclear contracting

Risks to Downside

- Slower load growth, more energy storage, leading to lower market power prices
- Decrease in government support for nuclear plants through tax credits
- Regulatory pushback on nuclear contracting leads to less data center upside

Talen Energy Corp (TLN.O)

Our valuation is based on a DCF with terminal values based on EV/EBITDA multiples. Our base case assumes: **1) AWS deal:** contracted ramp up to 1,920MW through 2032, with no renewal after 2042; **2) PJM capacity price:** \$333/MW-d; **3) Power prices:** +\$5/MWh upside to the forward prices; **4) Valuation:** 8x terminal EV/EBITDA for gas and 13x for nuclear energy; and **5) New data center deals:** we include a deal at Montour power plant at \$20/MWh price premium.

Risks to Upside

1) Higher PJM capacity prices; 2) Higher PJM energy prices; 3) Announcement of deals with DCs at TLN's gas plants; 4) Accretive growth opportunities; 5) Upside to shares buyback.

Risks to Downside

1) Lower PJM capacity prices; 2) Lower PJM energy prices; 3) Unattractive capital allocations; 4) Negative interventions in the PJM market.

Vistra Corp (VST.N)

Nuclear: 13x EV/EBITDA multiple on contracted assets and 11x on uncontracted. Non-nuclear: 8x implied EV/EBITDA derived from the base case using an unlevered DCF analysis assuming a ~8% WACC, 9% cost of equity (1.2 Beta, 4.50% equity risk premium, and a 4.25% risk free rate), 6% cost of debt, and ~8x terminal EV/EBITDA. \$50/share for data center uplift opportunities. Also, we add ~\$19/share to our PT related to higher gas and power prices.

Risks to Upside

1) High TX summer temperatures

- 2) Nuclear contracting opportunities with data centers sees more deals could be completed by year-end
- 3) Gas collocation in either ERCOT or PJM
- 4) Sustained retail growth give line of sight to "meaningfully higher" 2027 guidance

Risks to Downside

- 1) Heightened retail competition
- 2) Unfavorable power market regulations
- 3) Unfavorable summer
- 4) Data center demand slows

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(as of September 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Constellation Energy Corporation (CEG.O) - As of 10/07/26 GMT in USD
Industry : Diversified Utilities / IPPs



Stock Rating History: 3/16/22 : O/A; 1/10/25 : NA/A; 3/25/26 : O/A

Price Target History: 3/16/22 : 63; 5/20/22 : 62; 6/23/22 : 65; 7/21/22 : 64; 8/18/22 : 95; 8/23/22 : 96; 9/22/22 : 100; 10/20/22 : 98; 11/11/22 : 97; 12/15/22 : 99; 1/23/23 : 102; 2/22/23 : 101; 3/13/23 : 97; 3/21/23 : 98; 4/19/23 : 103; 5/22/23 : 105; 6/23/23 : 106; 7/21/23 : 111; 8/23/23 : 115; 9/21/23 : 118; 10/25/23 : 117; 11/7/23 : 129; 12/14/23 : 127; 1/23/24 : 136; 2/6/24 : 141; 2/28/24 : 166; 3/25/24 : 193; 4/17/24 : 199; 4/23/24 : 207; 5/28/24 : 237; 6/21/24 : 241; 7/23/24 : 232; 8/23/24 : 233; 9/23/24 : 313; 10/22/24 : 323; 11/22/24 : 322; 12/20/24 : 321; 1/10/25 : NA; 3/25/26 : 385; 4/21/26 : 360; 5/1/26 : 361; 5/21/26 : 359; 6/24/26 : 364; 7/22/26 : 366; 8/21/26 : 364; 9/18/26 : 369

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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Talen Energy Corp (TLN.O) - As of 10/07/26 GMT in USD
Industry : Diversified Utilities / IPPs



Stock Rating History: 3/12/25 : O/A

Price Target History: 3/12/25 : 243; 6/12/25 : 300; 7/18/25 : 330; 9/10/25 : 430; 10/22/25 : 442; 10/28/25 : 441; 12/16/25 : 443; 1/16/26 : 470; 2/17/26 : 473; 2/20/26 : 474; 3/20/26 : 472; 4/21/26 : 479; 5/1/26 : 498; 5/21/26 : 499; 6/24/26 : 508; 8/21/26 : 503; 9/18/26 : 514

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Industry : Diversified Utilities / IPPs



Stock Rating History: 10/1/21 : 0/A

Price Target History: 9/17/21 : 29; 10/21/21 : 31; 11/2/21 : 30; 11/22/21 : 29; 1/21/22 : 31; 2/18/22 : 32; 3/22/22 : 30; 5/20/22 : 31; 7/29/22 : 32; 8/23/22 : 33; 10/20/22 : 32; 11/11/22 : 31; 2/22/23 : 30; 3/21/23 : 31; 5/2/23 : 32; 5/22/23 : 31; 6/23/23 : 32; 7/21/23 : 33; 8/23/23 : 35; 9/21/23 : 40; 11/21/23 : 41; 12/14/23 : 44; 1/23/24 : 46; 2/22/24 : 50; 2/29/24 : 62; 3/25/24 : 78; 4/17/24 : 83; 4/23/24 : 86; 5/28/24 : 110; 7/23/24 : 109; 8/23/24 : 132; 10/22/24 : 135; 11/22/24 : 169; 1/27/25 : 172; 2/20/25 : 173; 4/23/25 : 172; 5/22/25 : 178; 6/18/25 : 186; 7/24/25 : 200; 8/21/25 : 207; 9/25/25 : 223; 11/20/25 : 225; 12/16/25 : 228; 1/21/26 : 227; 2/20/26 : 215; 3/20/26 : 214; 4/21/26 : 208; 5/21/26 : 212; 6/24/26 : 210; 7/22/26 : 208; 7/28/26 : 212; 8/21/26 : 227

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target --

No Price Target Assigned (NA)

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Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Diversified Utilities / IPPs

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/06/2026)
David Arcaro, CFA		
AES Corp. (AES.N)	E (03/06/2026)	\$14.93
American Electric Power Co (AEP.O)	O (03/10/2020)	\$121.67
Constellation Energy Corporation (CEG.O)	O (03/25/2026)	\$300.40
MGE Energy, Inc. (MGEE.O)	U (11/17/2021)	\$70.59
NextEra Energy Inc (NEE.N)	O (09/06/2022)	\$77.88
NRG Energy Inc (NRG.N)	E (12/09/2022)	\$103.60
Public Service Enterprise Group Inc (PEG.N)	O (07/02/2020)	\$71.73
Solaris Energy Infrastructure (SEI.N)	O (12/02/2025)	\$79.70
Talen Energy Corp (TLN.O)	O (03/12/2025)	\$373.11
Vistra Corp (VST.N)	O (03/25/2019)	\$160.50

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* Historical prices are not split adjusted.